

Avro Energy Handover To Octopus

Summary

Octopus took over my account around September, 2021. The first I heard of their involvement was when I received emails relating to direct-debit setup. I had not been following the ongoing demise of various energy companies so was unaware it was going to happen.

Towards the end of the third quarter of 2022 I become concerned over the level of amount I apparently owed.

Checking back I reviewed the Avro Bill and was suprised to find it make absolutely no sense. Please see the full details in Appendix 1 - the Avro Handover Bill - PDF.

The bill itself bill claimed an overall debit balance of over 1124.93 - however the internal data did not support this. A running balance of -768.66 (note the minus) when combined with new charge of 87.24 (note the implied +) and my payment of -269.03 (note the minus) clearly do not sum up to 1124.93.

Details

Summing the Totals and Payments

The contents of the bill - if summed in the logical manner - yield the following calculation:

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-768.66 - Previous balance (minus sign)
  87.24 - New charges (implied plus sign)
-269.03 - Payments received (i.e. I paid them - minus sign)
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-950.45 - Summed total using the signs presented.
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This clearly not correspond to the apparent debit balance of 1124.93

Where does 1124.93 come from?

The alleged debit balance can be attained by summing the absolute values of all consituant balances/payments/debits - i.e. $768.66 + 87.24 + 269.03 = 1124.93$.

This is clearly a nonsensical way to deal with credits and debits in a financial calculation.

Bringing it to Octopus attention

I raised this matter in an email letter (see full details in Appendix 2 - Mark Cope's Letter of Convern to Octopus Re: Avro Handover Bill). It is fair to say that at this point I was completely confused as to the state of my account, and concerned at the amount the

account had apparently gone into debt - a following (edited for brevity) email fragment shows:

(a bill summary from 10th November 2022 - 27th November 2022) showed a debit balance of £1614.13 - despite my paying Octopus recommended DD. Had I realised at the time that this did *not* include the Avro balance I would have been mortified).

XXX-GPT-Show a bill with Avro tucked at the back. XXX-Raise the issues of the Avro refund/debit whatever they called it? XXX

The Avro Balance

I believe I had a telephone conversation with Octopus support - and recall not being at all happy with the explanation I received. However, and that point lacking facts details and any real understanding of how energy companies operated , I decided to wait for a formal letter from Octopus. I assumed I would receive a written explanation what had happened and their proposed route forward.

I did not nor have I since received any written explanation of what exactly was going on with this bill. What I did get - as an almost aside in an email on wider subject matters was this:

(fragment taken from email)
Hi Mark,

Thanks for your reply.

One of our colleagues, Becks, previously corrected the avro balance by applying a credit of £831.49 this reduced the balance that was transferred to us from -£1,124.93 to -£293.44 ...
(snip).

this was the sum 'formal' notification I got that anything had been done.

Further information

A final point - it was clear from Octopus emails to me that they had no clue what was going on in the Avro bill. As I had made the issues crystal clear - they could not just ignore the issue - and the result was a number being applied as a credit to the total. XXXX tbd.

The Avro Balance - Revisited

if one examines the accounting conventions used in this bill, another picture becomes very plausible: * charges - money *owed by the customer to Avro* (£87.24) have an

(implied) +ve (positive) sign. * payments - money *paid by the customer to Avro* (-269.03) have an explicit -ve (negative) sign.

Using this convention - which appears to be the one used by Avro: * The starting point for the bill was that I was in credit: £768.66 * That charges of £87.24 should be deducted from that balance, and * That my payment of £269.03 should be added to that balance

Leaving me with a credit balance of £949.45. This is a far more credible interpretation than Octopus' automatic assumption of 'debit it is.' and in the absence of contrary evidence I suggest this is how the bill should now be viewed.

(see Appendix 1 - the Avro Handover Bill - PDF - where this interpretation is backed up with full details - including the bill itself).

The Avro Balance - Final Deduction

Avro took money from my account in Nov-24 to cover the apparently in-hiding £293.44 they decided could somehow be justified from the bill. I was not consulted with respect to this, nor do I agree with it. This money should certainly be refunded immediately - after which the customer credit balance can be restored.

Complaint Points

1. How this bill was allowed - given it was clearly logically inconsistent - to get onto Octopus system in the first place. How did it remain there for over a year and why was it left to me - the customer - to be the one to have to raise a concern.
2. Why has not written explanation ever been given as to Octopus of this bill. Why did Octopus not understand that any customer would be concerned at such a piece of nonsense being given credence by a 'professional energy supplier'?
3. Why given it's nonsensical contents was it still given credence by Octopus - albeit to a lesser value - at all.
4. Why did Octopus not examine the the accounting conventions clearly used (minus for customer payment, plus for supplier charge) and interpret it as a customer credit. Why was the debit assumption just assumed?
5. Why was the whole matter just brushed aside as soon as possible with as little detail as possible being revealed.
6. Why was written agreement over a final way forward not sought - subject to all options being explored?
7. Why have Octopus refused to explain - initially and again during this process - where their 'account adjustment' of £831.49 actually came from.
8. Why have Octopus - yet again - failed to engage and assist a customer in understanding what is actually going on with their account?

Specific Questions Ignored By Octopus

The following questions were sent to Octopus to attempt to engage with them and resolve issues during the complaints process. These have, to date, been completely ignored.

- AVRO.SQ1 - Please provide a detailed breakdown of how the corrective credit of £831.49 applied to my account was calculated, including the underlying units, rates, billing periods and any adjustments applied.
- AVRO.SQ2 - Please explain the basis on which the Avro balance continued to be treated as a debt following the application of a substantial corrective credit, including the account balance position before and after the adjustment.
- AVRO.SQ3 - Please describe the verification and due diligence performed on the Avro balance prior to its application to my account, including what checks were carried out, what data was relied upon, and whether any validation against underlying billing records was performed.
- AVRO.SQ4 - Please describe the formal mechanism by which the Avro account was transferred to Octopus, including the data sources used, the format of the data received, and whether any reconciliation or transformation was applied before it was incorporated into my account.
- AVRO.SQ5 - Please explain the basis on which the residual balance of £293.44 was added to my account in November 2024, including what triggered this entry at that time, what period it relates to, and how the amount was calculated.

Restitution Sought

- Refund/crediting of monies taken account with due cause: the whole of the Avro bill value + the implied customer credit that can be seen using the Avro bill's internal accounting conventions. Or XXXX-a damn good reason why not-that stands up to a balance of probabilities test.
- A recalculation of the running balance of the account taking the above into account (and other items raised in this account) and interest payments at 8% non-cumulative statutory rates for any positive balance for its full duration.
- Compensation for the time it took in initially raising the bill to Octopus and the subsequent necessity of re-address the whole matter during this complaint process: 150.00